

Flowers Foods Valuation

Group 10: FIN 463/526 Investment Banking – Group Project #1

Agenda

- I. Executive Summary
- II. Industry Outlook
- III. Positioning Perspectives
- IV. Preliminary Valuation Outlook
- V. Appendix

Executive Summary

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Executive Summary

Situation Overview

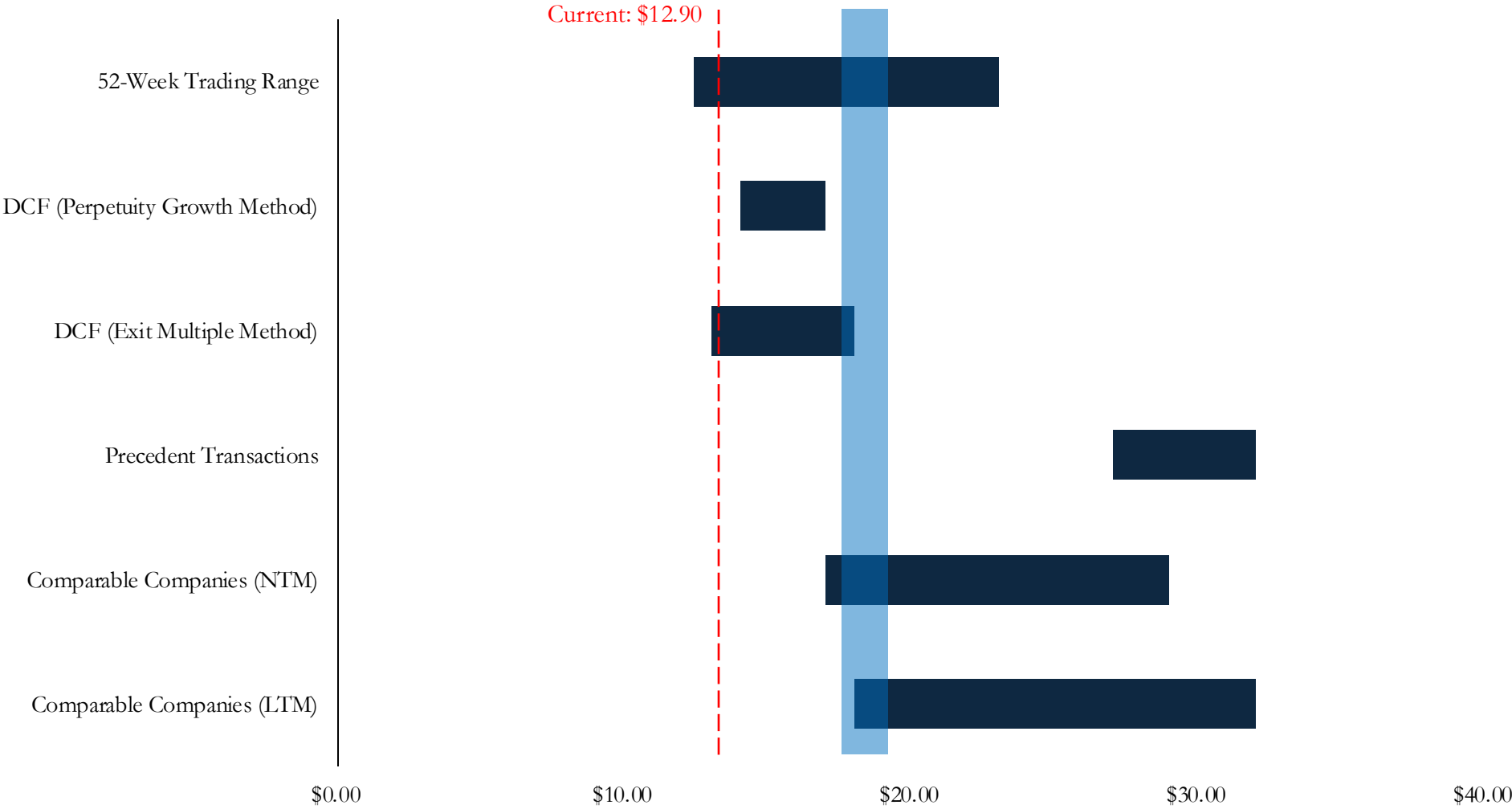
- One of the largest U.S. packaged bakery companies with strong national distribution reach (~85% of households)
- Leading brands including Nature's Own, Dave's Killer Bread, Wonder; strong share in fresh packaged bread
- Dual DSD + warehouse distribution model provides broad penetration but carries high operating costs
- Category is low growth and price-competitive; mix shift toward premium and health-perceived offerings is key
- Facing margin pressures from commodity inflation (wheat, labor, logistics) and continued pricing sensitivity
- Ongoing litigation risk related to independent distributor classification under the DSD model

Key Takeaways

- Opportunity to optimize portfolio by divesting lower-margin legacy brands and expanding high-growth premium segments
- Innovation focus needed in better-for-you, high-protein, low-carb, and gluten-free product areas
- Potential for product adjacencies (snacking, breakfast) to expand TAM and drive incremental growth
- Pricing and promotional efficiency improvements could support margin recovery
- Modernizing supply chain and automation can drive cost efficiencies over time
- Expansion of warehouse distribution may enhance profitability and reduce DSD exposure
- Strategic M&A optionality in premium bakery to accelerate growth and mix upgrade
- Solid income profile and strong retailer relationships support stability and floor valuation
- Multiple expansion potential tied to improved margins, litigation resolution, and continued premiumization strategy

Illustrative Summary of Preliminary Valuation Analysis

Our valuation yield a range of \$17.00 – \$19.00, implying a 31.79% - 47.29% premium on Flower Foods current share price



Source: N/A
Note: N/A

Industry Outlook

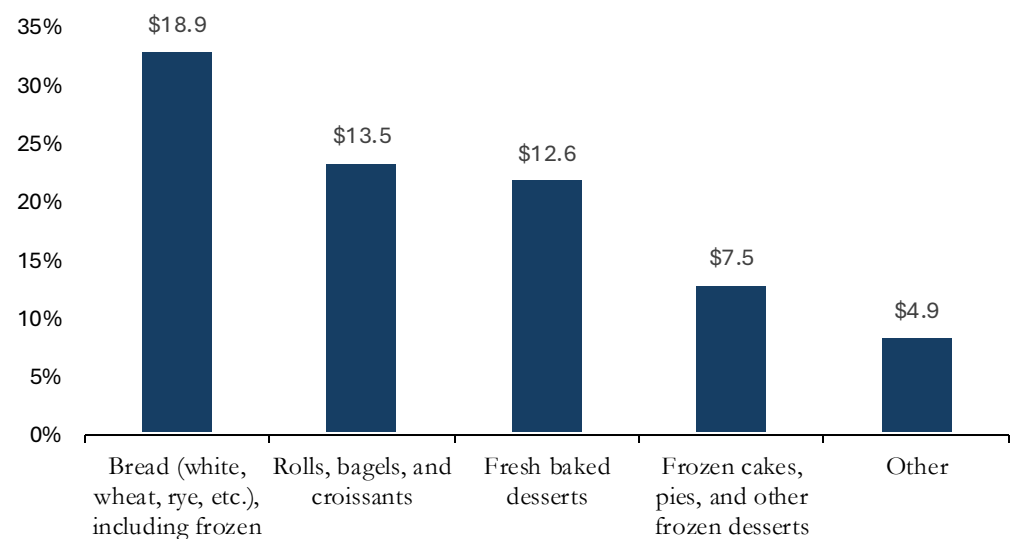
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Baked Goods Industry Overview

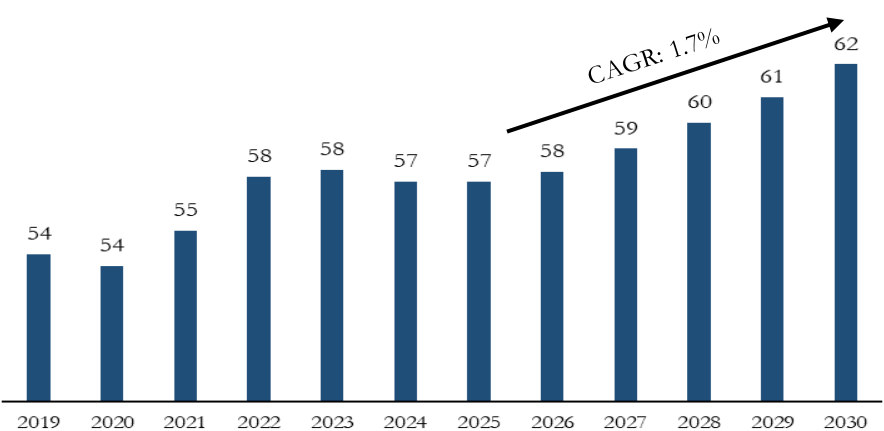
Industry Overview & Trends

- Baked goods producers must adapt to changing consumer preferences and external circumstances to maintain success
- Inputs, such as flour, sugar, and yeast, fluctuate greatly and are highly sensitive to global markets
- Wheat prices are prone to spikes due to geopolitical tensions, environmental factors, and tariffs – supply chain pressures drive prices up
- Surges in consumer demand for whole-grain, gluten-free, low-carb, high-protein, high-fiber, and organic bread options shape the industry
- Private-label expansion is pulling business away from national brands
- 53% of U.S. consumers regularly eat bread and bakery products
- Increased demand for higher-margin artisanal bread offsets market struggle

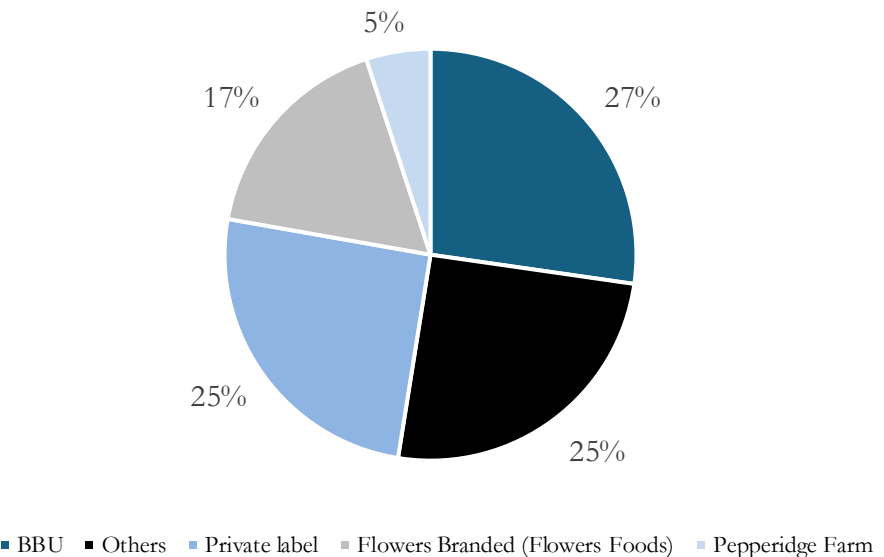
Product Segmentation (\$bn)



U.S. Bread Production Market Size (\$bn)



Market Share (%)



Source: Statista, IBIS World, 10-K

Note:

Initial Positioning Perspectives

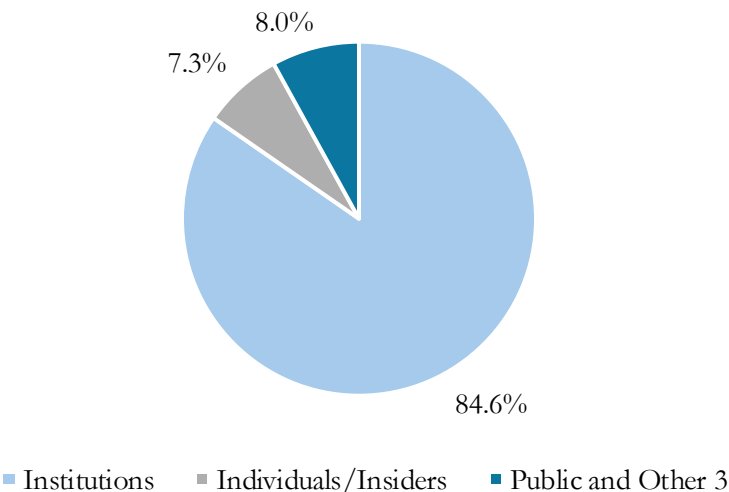
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Flowers Foods Company Overview

Company Overview

- Flowers Foods, Inc. (NYSE: FLO) is a leading producer and marketer of packaged bakery foods in the United States, offering a diverse portfolio of fresh and frozen baked goods, snack cakes, and tortillas
- Core product categories include breads, buns, rolls, snack cakes, pastries, and tortillas
- Flowers Foods serves a broad range of retail and foodservice markets
- The company continues to expand its portfolio through innovation and acquisitions focused on high-growth, “better-for-you” categories, including the recent acquisition of Simple Mills (2025) to diversify into premium baking and snack alternatives
- Flowers Foods operates 46 bakeries across 18 states, supplying products to customers nationwide through over 4,000 distribution routes⁽¹⁾

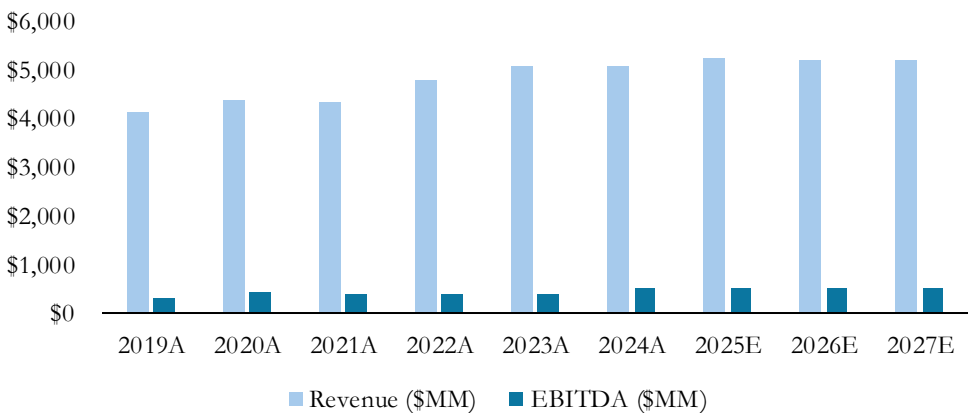
Ownership⁽²⁾



Revenue by Segment (2025E)⁽¹⁾

Segment	Revenue	Percent	Change
Branded	\$3,480	66%	+5%
Private	\$1,760	34%	(4%)
Total	\$5,239	100%	+2-3%

Revenue and EBITDA Growth⁽¹⁾



CAGR (2019 – 2024): Revenue: 4.4%,
EBITDA: 9.6%

Business Segment Review

Sales Reporting & Mix

- Flowers does not report margin by segment. They disclose sales by Branded Retail and Other only.
- Management steers mix toward higher-margin branded products and is exiting lower-margin foodservice. This strongly suggests Branded Retail is the higher-margin class.
- Cost backdrop improved: materials/supplies/labor/other production fell to 50.5% of sales (from 51.7%) as ingredient/packaging costs eased and price/mix improved — a tailwind consistent with branded mix
- Sales categories and mix: Branded Retail = 63.9% of total; Other = 36.1% for FY2024
- Growth vs. FY2023: Branded Retail -0.1%, Other +0.8%, Total +0.2%. So, “Other” grew fastest in FY2024.
- Sales bridge: Price/mix +1.8% and volume -1.7% (Papa Pita acquisition +0.1%).
- What’s inside “Other”: store-brand retail + non-retail (foodservice/restaurant/institutional, vending, thrift, contract manufacturing). Growth came from optimizing foodservice and higher store-brand volumes, offset by volume declines in non-retail after exiting some foodservice business in 2H23.

Any unprofitable segments/customers

- the company exited certain lower-margin foodservice in late 2023 (continuing optimization in 2024) — a clear sign they pruned sub-economic pockets.
- They also recorded impairments/charges in 2024 (e.g., ERP-related write-offs; cake territory impairment), consistent with portfolio cleanup.

Board-level takeaways for valuation

- Quality of mix improving: Strategy favors differentiated branded products (e.g., organic/Keto). That supports margin durability and can merit a quality premium in valuation if sustained.
- Other grew but mind the composition: FY2024 growth in “Other” stems from foodservice optimization and store-brand volume — positive, but execution and pricing power in non-retail are the key risks.
- Macro cost tailwind normalized: Production cost ratio improved to 50.5%; still sensitive to labor, logistics, and promotion. Use scenarios in models.
- High concentration overhang: With Walmart at 22.4%, expect investors to apply a concentration discount vs. peers with more diffuse customer sets.

Positioning & Growth Perspectives

Flowers Foods leverages scale, strong brand equity, and expanding “better-for-you” innovation to sustain margin growth and capture market share

Key Investment Highlights

Brand Reach & Robust Networks

- Flowers operates 44 bakeries across 19 different states
- Broad customer network across Walmart, Kroger, Publix, and other top grocers
- Nearly 6,000 territories across independent, company operated- and resale routes

Segment Leaders

- Flowers Foods is the second-largest packaged bakery company in the United States
- Multi-brand exposure to both value and premium segments reduces volatility



**Best-Selling
Loaf Bread**



#1 Organic



#1 Gluten Free



97% Brand Awareness

Growth Perspectives

“Better-for-You” & Snacking Expansion

- Acquisition of Simple Mills provides entry into grain-free snacks, cookies, bars, and mixes
- Simple Mills expands non-bread exposure and strengthens health-and-wellness positioning

Branded-Retail Mix

- Although “Brand” demand has softened, Flowers focuses mainly on higher-margin branded products, such as healthy alternatives and snack categories
- Branded retail accounts for ~65.7% of sales

Leveraging Channel & Shelf-Space Expansion

- Flowers focuses on targeted growth in club, dollar, and convenience, and e-commerce channels, as well as incremental wins in shelf-space, leveraging Simple Mills cross-promotion



**Successfully acquired for
\$848.5M all-in, opening
new markets and reversing
declining trends**

Risks & Mitigations

Flowers Foods faces cost inflation, supply constraints, and legal inconveniences; however, hedging, digital transformation, and leadership stability support long-term success

Risks

Cost & Consumer Trade-Down

- Persistent input-cost inflation across wheat, sweeteners, packaging, and energy constrains margins
- Consumer trade-down toward lower-priced or private-label bakery goods has shifted volume away from branded goods
- The \$848.5m acquisition of Simple Mills increases leverage and exposure to interest expense

Manufacturing & Supply

- Heavy dependence on regional suppliers for flour, oils, and packaging materials exposes flowers to input volatility
- The \$350m multi-year Enterprise Resource Planning (ERP) upgrade and rollout is subject to execution risk & disruptions
- Capacity utilization issues led to the closure of the Bailey Street Bakery facility, resulting in supply and restructuring cost

Litigation & Leadership

- Independent Distributor Partner (IDP) litigation, including a \$55m settlement and ~\$79m repurchase of 400 California territories, poses reputational and operational risk
- CFO Steve Kinsey has announced plans to retire at the end of the calendar year
- Worker retention is critical for success in the rollout phase of Flowers' costly ERP, especially for skilled technical employees

Mitigations

Hedging

- Maintain active commodity-hedging and forward-purchase contracts for wheat, packaging, and energy
- Strategic price adjustments, promotions with retailers, and product diversity can offset shifting consumer preferences
- Simple Mills and other brands under Flowers' umbrella, with "healthy alternative" offerings, tend to achieve higher margins

Diversification

- Flowers could expand the use of multi-sourcing agreements and long-term supply contracts, avoiding regional dependency
- Automation and digitalization efforts within the ERP equip Flowers to handle future uncertainty and improve efficiency
- Flowers has reallocated production to larger bakeries, and the consolidation should improve cost efficiency and utilization

Settlement

- Key IDP lawsuits have been resolved, and Flowers shifted its California Direct-Store-Delivery operations to employee-based, along with standardizing all distributor agreements
- Structured CFO succession with Anthony Scaglione, including an overlap period and board oversight, ensures stability
- Partnerships with external tech specialists exist to fill gaps, and internal training programs and certification boost retention

Source: Flowers 10K, Flowers 10Q, Flowers 8K

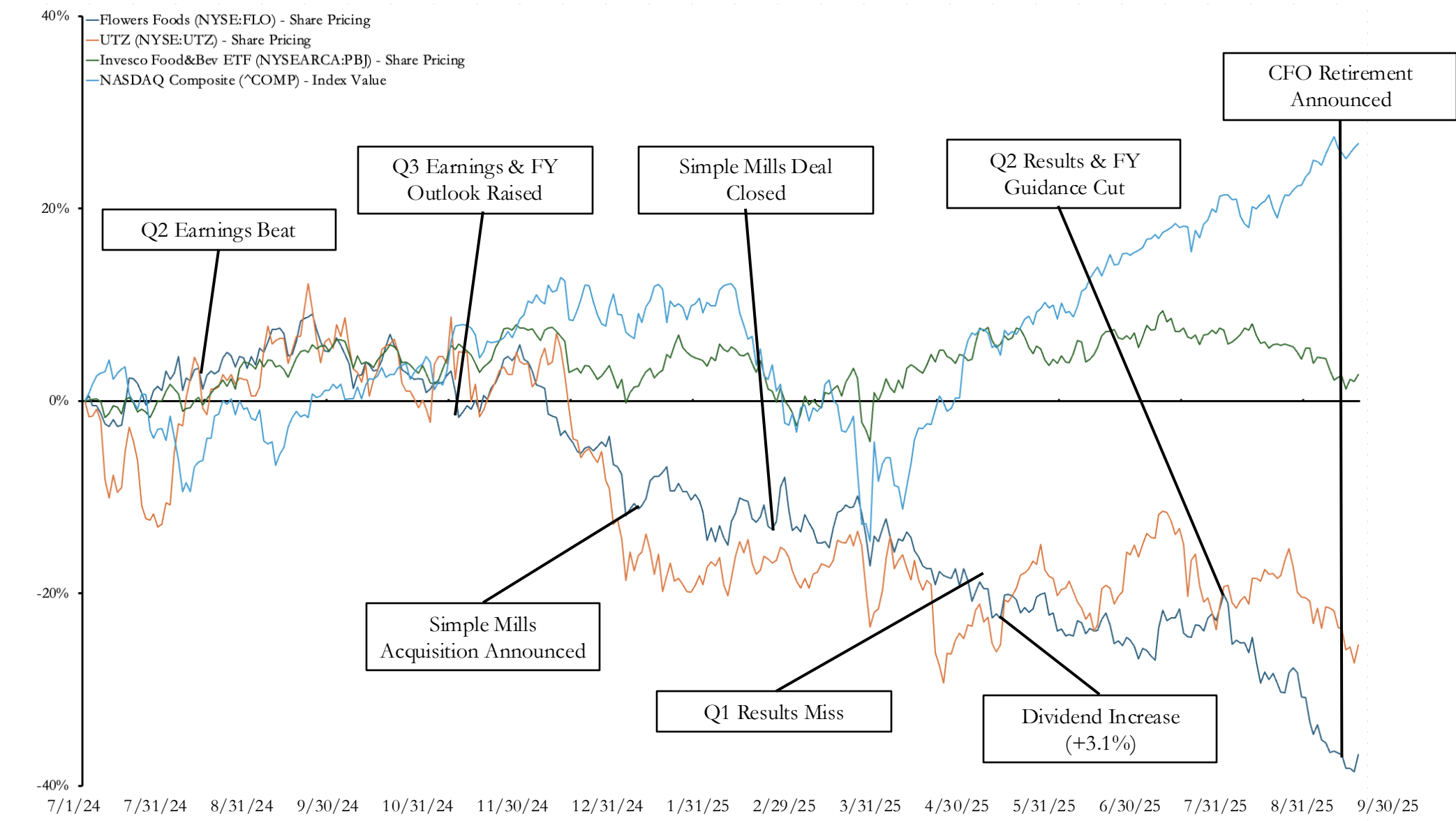
Note:

Preliminary Valuation Outlook

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Flowers Historical Stock Price Performance

Stock performance reflects broad consumer-staples pressures, acquisition benefits, and leadership transitions



Source: Flowers Foods 10K, Flowers Foods 10Q, Flowers Foods 8K, Yahoo Finance, Bloomberg
Note:

Flowers Current Trading Valuation

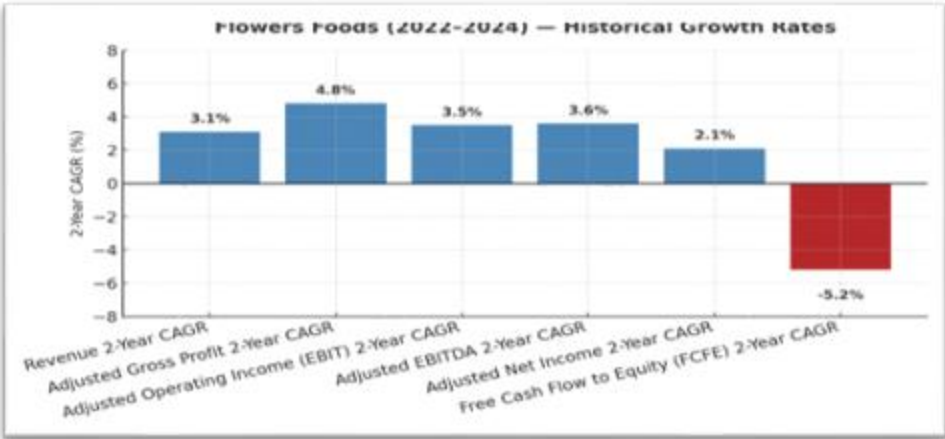
Financials and Multiples

Multiple Type	2022A	2023A	2024A	LTM
EV/Revenue	1.37x	1.14x	1.1x	0.93x
EV/Adjusted EBIT	20.5x	18.3x	15.4x	11.5x
EV/Adjusted EBITDA	13.1x	11.16x	10.4x	8.1x
P/E Ratio	26.7x	38.6x	26.5x	10.4x

LTM Rev: \$5,098.0 mm
LTM EBIT: \$372.3 mm
LTM EBITDA: \$517.5 mm
LTM NI: \$219.5 mm

Current Share Price: \$12.54
Implied EQ: \$2,648.2 mm
Net Debt: \$2,077.4 mm
Implied EV: \$4,725.6 mm

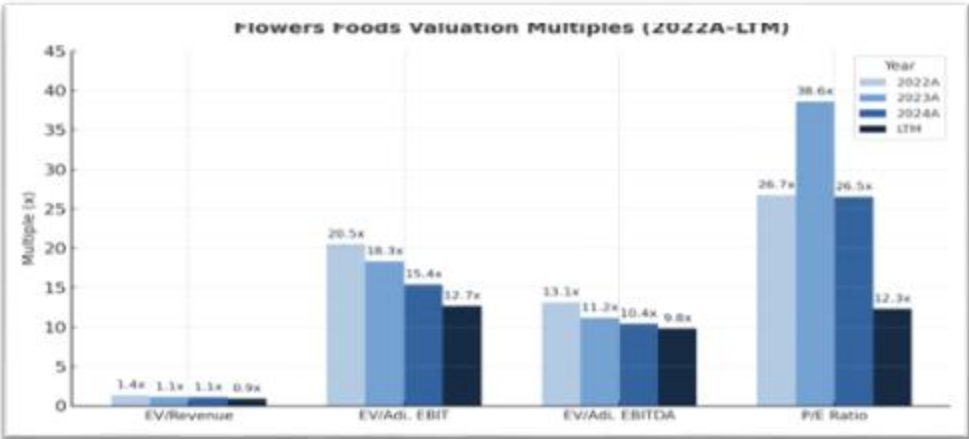
Historical Growth Rates



Average Price Target of Research



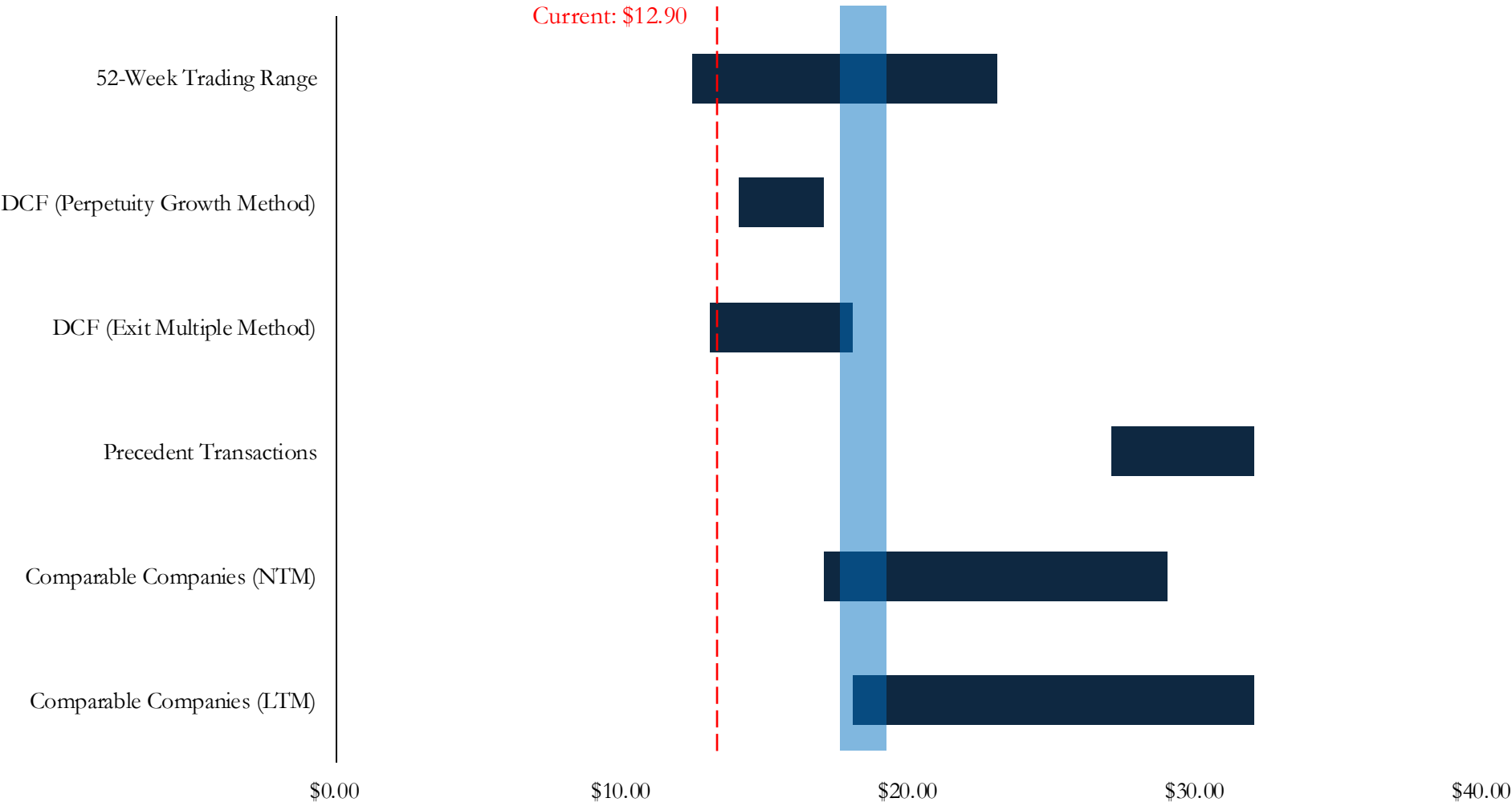
Margins (2021-LTM)



Source: 10k, Annual Reports, CAP IQ
Note: N/A

Illustrative Summary of Preliminary Valuation Analysis

Our valuation yield a range of \$17.00 – \$19.00, implying a 31.79% - 47.29% premium on Flower Foods current share price



Selected Comparable Companies Overview

The first quantile to median EV/EBITDA multiples of comparables suggest an implied valuation range of \$17.59-\$31.89 (LTM) and \$17.02-\$29.25 (NTM)

Selection Criteria

- Selected comparable companies compete in **U.S. branded packaged bakery & snacks**, serving similar markets with **everyday, high-velocity staples**.
- Sell primarily in North America with national grocery and compete for shelf or freezer space and the same retail buyers.
- Similar reliance on **large U.S. retailers** (e.g., Walmart) and **warehouse/DSD distribution**; performance mainly comes down to how often shelves are fully stocked, how quickly orders are filled, and whether deliveries arrive on time and in full.
- Comparable input exposures (grains, oils, sugar, dairy), margin sensitivities, and mid-scale revenue.

Selected Comparable Companies



Rationale

- Sells salty snacks nationwide; reaches most big grocery and convenience stores
- Uses a mix of DSD and warehouse shipping like Flowers, so shelf stocking and promos work similarly
- Competes for the same shelf space and runs comparable weekly deals/discounts
- Implied EV : \$ 3,277.7 mm
- EV/Adj. LTM EBITDA : 17.8x



Rationale

- Makes frozen snacks you grab often (soft pretzels, churros, ices) for home and foodservice
- Similar “everyday” use cases as Flowers (lunches, quick bites), not special-occasion treats
- Runs scaled plants and steady promotions, so margins and growth patterns are comparable
- Implied EV : \$ 1,756.2 mm
- EV/Adj. LTM EBITDA : 9.9x

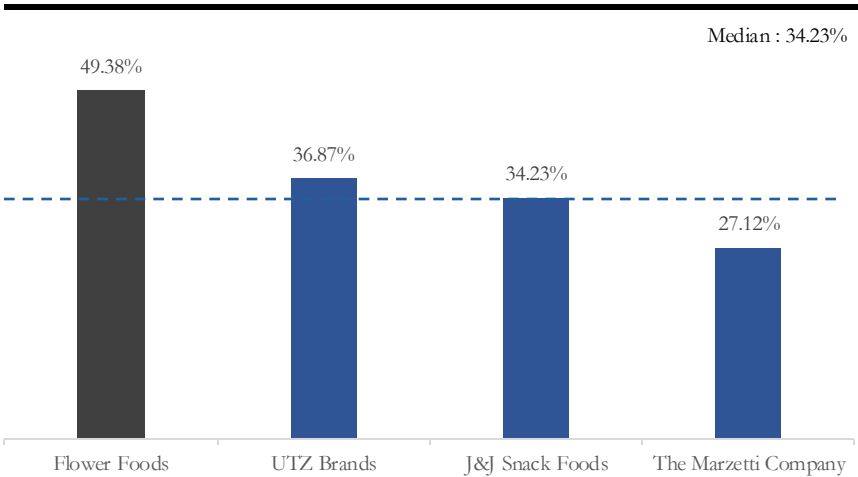


Rationale

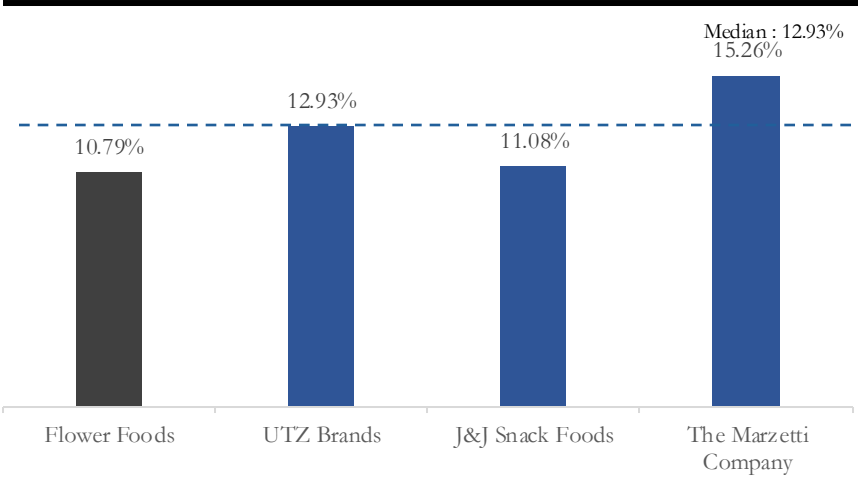
- Big in frozen bakery (garlic bread, dinner rolls) sold in the same aisles as Flowers’ items
- Heavy U.S. grocery exposure with similar promo playbooks and price/pack strategies
- Faces the same private-label pressure and steady, staple-driven demand
- Implied EV : \$ 4,474.9 mm
- EV/Adj. LTM EBITDA : 15.4x

Comparable Companies Benchmarking – Operating Statistics

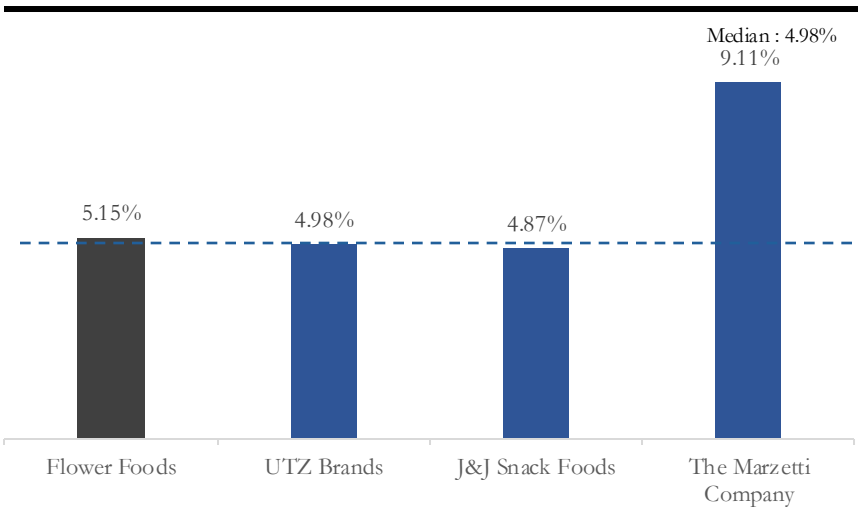
LTM Gross Margin



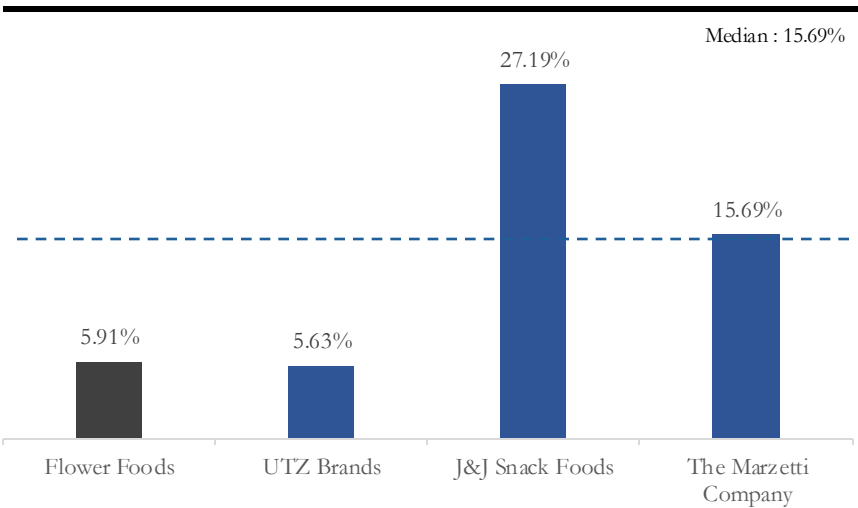
LTM EBITDA Margin



LTM Net Margin

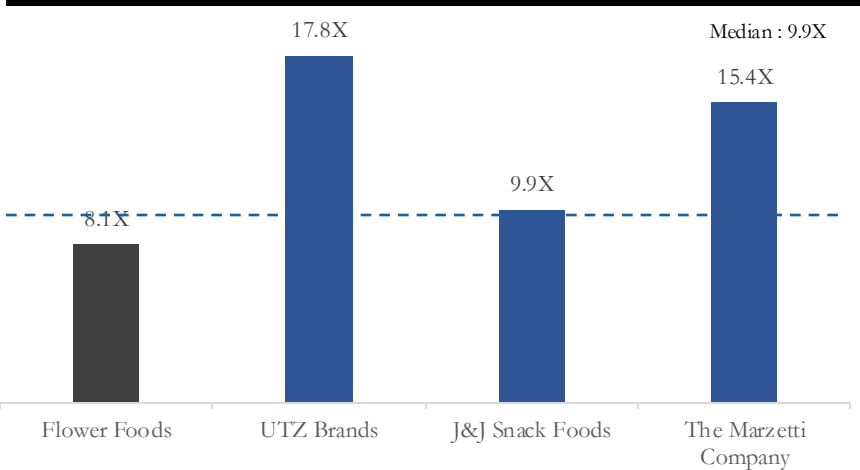


2yr EBITDA CAGR

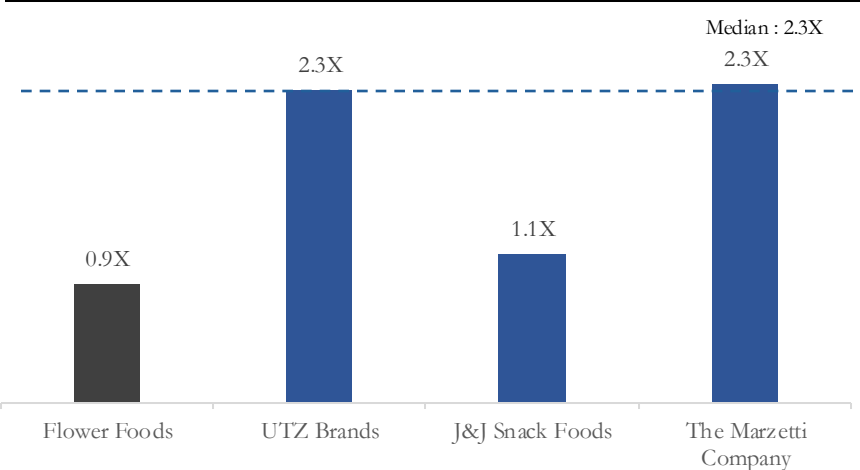


Comparable Companies Benchmarking – Valuation Statistics

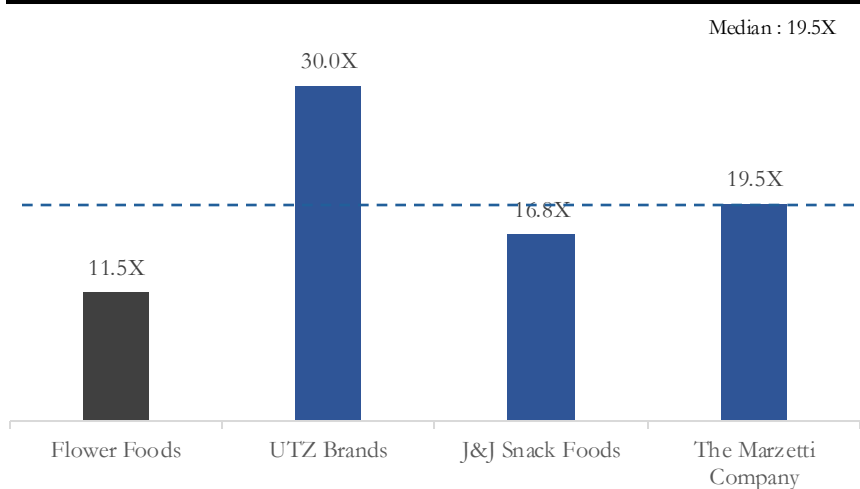
EV/LTM EBITDA



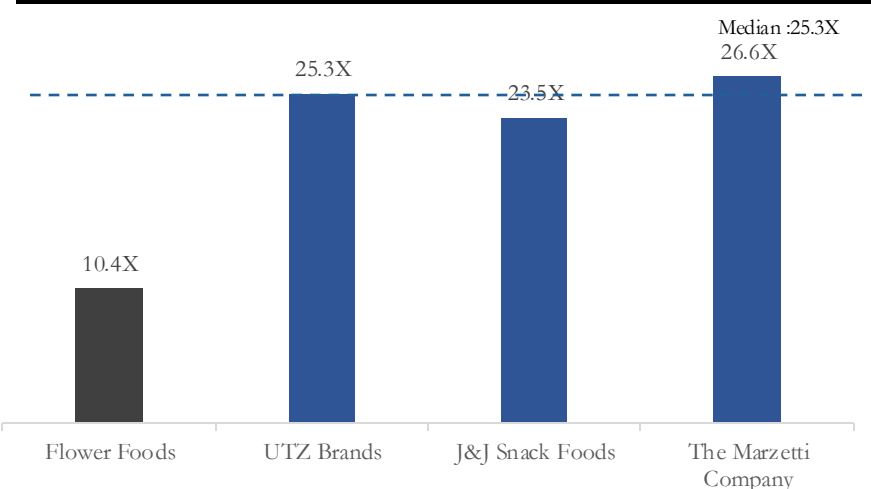
EV/LTM Rev



EV/LTM EBIT



P/E



Source: Yahoo Finance, Public 10Q/10K
Note: Shares Pirce on 10/22/2025

Select Precedent Transactions

Precedent Transactions yielded a price target between \$31.00-\$34.00 using the median and Third Quartile Adjusted EBITDA multiple

Selected Transactions

Date: 7/10/2025	Date: 8/13/2024	Date
 FERRERO <i>Acquired</i> Kellogg's	 MARS <i>Acquired</i> Kellanova	  THE J.M. SMUCKER CO <i>Acquired</i> Hostess BRANDS
The Ferrero Group announced the successful completion of its acquisition of WK Kellogg Co. WK Kellogg Co is now a wholly owned subsidiary of Ferrero.	The acquisition aims to leverage complementary product categories and market reach to build a leading, sustainable global snacking business.	Transaction helps Smucker's engage in developing manufacturing, marketing, selling, and distributing baked goods. It operated through the Snacking segment, which consists of sweet baked goods, cookies, bread and buns, and frozen retail product.
EV: \$3.1 Billion EV/EBITDA: 10.1x	EV: \$36.3 Billion EV/EBITDA: 15.7x	EV: \$35.17 Billion EV/EBITDA: 15.7x

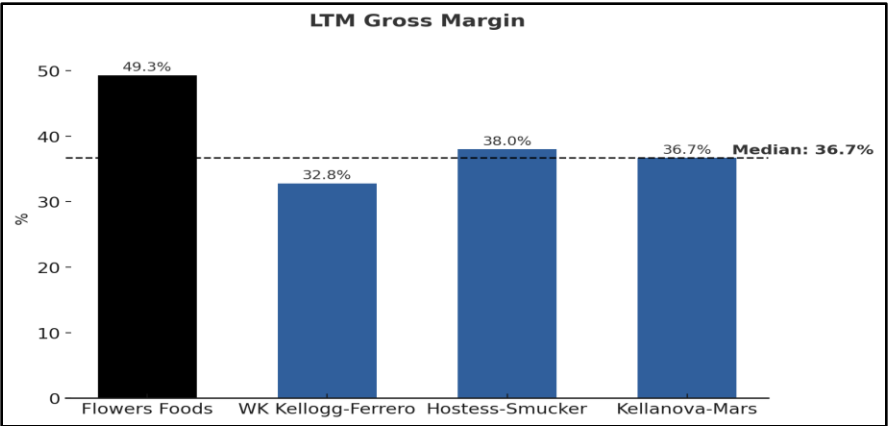
Deal Rationale

- Transactions involving **North American branded bakery, snack, and packaged food companies** with distribution footprints similar to Flowers Foods.
- Focused on **strategic acquirers** (e.g., major consumer packaged goods companies and private equity sponsors) pursuing consolidation in branded or private-label bakery segments.
- Considered deals featuring **distribution synergies, retail exposure, and manufacturing integration** opportunities (e.g., plant optimization, shared logistics).
- Excluded highly distressed, cross-category (beverages/ meats), or international-only transactions.
- Valuation multiples were normalized for **synergy adjustments** and **post-pandemic demand normalization**, producing a tighter and more relevant comp set.

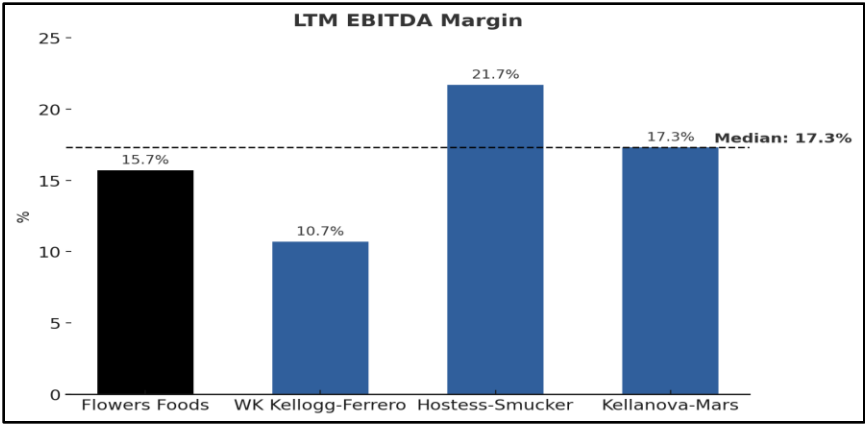
Select Precedent Transactions – Benchmarking

Given the precedent benchmarking, UTZ trades below peers on valuation despite maintaining comparable profitability and operating margins

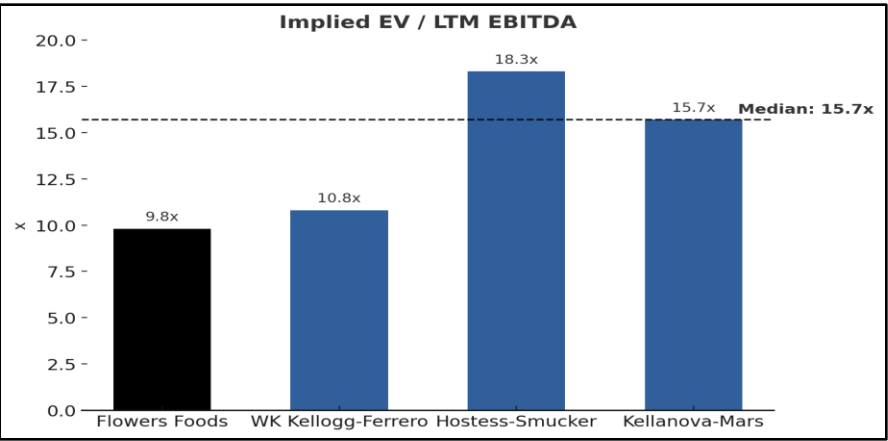
LTM Gross Margin



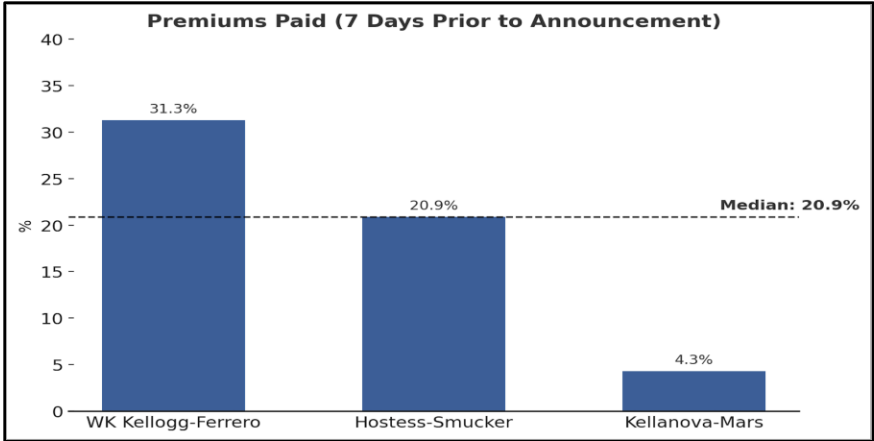
LTM EBITDA Margin



Implied EV/LTM EBITDA



Premiums Paid (7 Days Prior to announcement)



Discounted Cash Flow Analysis

	Historical Period			Projection Period				
	2023A	2024A	2025E	2026P	2027P	2028P	2029P	2030P
Total Revenue	\$5,091	\$5,103	\$5,253	\$5,242	\$5,290	\$5,338	\$5,387	\$5,437
% Growth		0.2%	2.9%	(0.2%)	0.9%	0.9%	0.9%	0.9%
Adjusted Operating Income (EBIT)	\$350	\$379	\$356	\$360	\$371	\$374	\$378	\$381
% Margin	6.9%	7.4%	6.8%	6.9%	7.0%	7.0%	7.0%	7.0%
Income Tax Expense	87	95	89	90	93	94	94	95
Net Operating Profit After Taxes (NOPAT)	\$262	\$284	\$267	\$270	\$278	\$281	\$283	\$286
Depreciation & Amortization	152	159	171	169	170	172	173	175
Capital Expenditures	(129)	(132)	(135)	(276)	(272)	(172)	(173)	(175)
Change in Net Working Capital - (Increase) / Decrease	- -	(118)	(34)	25	3	(2)	(2)	(2)
Unlevered Free Cash Flow (UFCF)	\$285	\$194	\$269	\$188	\$179	\$279	\$282	\$284
WACC	7.26%							
Discount Period				0.5	1.5	2.5	3.5	4.5
Discount Factor				0.97	0.90	0.84	0.78	0.73
Present Value of UFCF				\$182	\$161	\$234	\$220	\$207

Assumptions	Exit Multiple Method	Perpetuity Growth Method
- Revenue Growth: Slow growth for a mature company - Perpetuity growth rate: Slightly under GDP growth at 2.0% - EBITDA Multiple: Conservative 11x multiple, taken from lower end of comparable companies - WACC: 7.26%, on the lower end indicating low expected return and cost of capital, driven by a low levered beta of 0.31 which shows Flowers low volatility in relation to the market	Present Value of UFCF \$1,005	Present Value of UFCF \$1,005
	Terminal Year EBITDA (2030P) 556	Terminal Year UFCF (2030P) 284
	EBITDA Exit Multiple 11.0x	Perpetuity Growth Rate 2.0%
	Terminal Value \$6,116	Terminal Value \$5,513
	Discount Factor 0.70	Discount Factor 0.73
	PV of Terminal Value \$4,308	PV of Terminal Value \$4,022
	Implied Enterprise Value \$5,313	Implied Enterprise Value \$5,027
	Less: Total Debt 1,749	Less: Total Debt 1,749
	Plus: Cash and Cash Equivalents 11	Plus: Cash and Cash Equivalents 11
	Implied Equity Value \$3,575	Implied Equity Value \$3,288
	Fully Diluted Shares 211	Fully Diluted Shares 211
	Implied Share Price \$16.93	Implied Share Price \$15.57

Appendices

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Appendices - DCF

	Historical Period		
	2023A	2024A	2025E
Total Revenue	\$5,091	\$5,103	\$5,253
% Growth		0.2%	2.9%
Adjusted Cost of Goods Sold	2,632	2,577	2,685
% Margin	51.7%	50.5%	51.1%
Adjusted Gross Profit	\$2,459	\$2,526	\$2,568
% Margin	48.3%	49.5%	48.9%
Selling, General and Administrative	1,957	1,988	2,041
% Margin	38.4%	39.0%	38.9%
Depreciation & Amortization	152	159	171
% of Total Revenue	3.0%	3.1%	3.3%
Adjusted Other Operating Expenses / (Income)	--	--	--
Adjusted Operating Income (EBIT)	\$350	\$379	\$356
% Margin	6.9%	7.4%	6.8%
Income Tax Expense	87	95	89
Marginal Tax Rate	25.0%	25.0%	25.0%
Net Operating Profit After Taxes (NOPAT)	\$262	\$284	\$267
Depreciation & Amortization	152	159	171
Capital Expenditures	(129)	(132)	(135)
% of Total Revenue	(2.5%)	(2.6%)	(2.6%)
Change in Net Working Capital - (Increase) / Decrease	--	(118)	(34)
Unlevered Free Cash Flow (UFCF)	\$285	\$194	\$269

WACC	7.26%				
Discount Period	0.5	1.5	2.5	3.5	4.5
Discount Factor	0.97	0.90	0.84	0.78	0.73
Present Value of UFCF	\$182	\$161	\$234	\$220	\$207

Terminal Multiple Method	
Present Value of UFCF	\$1,005
Terminal Year EBITDA (2030P)	556
EBITDA Exit Multiple	10.0x
Terminal Value	\$5,560
Discount Factor	0.70
PV of Terminal Value	\$3,916
% of Enterprise Value	79.6%
Implied Enterprise Value	\$4,921

Less: Total Debt	1,749.4
Plus: Cash and Cash Equivalents	11.0
Less: Preferred Stock	--
Less: Noncontrolling Interest	--
Implied Equity Value	\$3,183
Fully Diluted Shares	211.18
Implied Share Price	\$15.07

Perpetuity Growth Method	
Present Value of UFCF	\$1,005
Terminal Year UFCF (2030P)	284
Perpetuity Growth Rate	2.0%
Terminal Value	\$5,513
Discount Factor	0.73
PV of Terminal Value	\$4,022
% of Enterprise Value	80.0%
Implied Enterprise Value	\$5,027

Less: Total Debt	1,749.4
Plus: Cash and Cash Equivalents	11.0
Less: Preferred Stock	--
Less: Noncontrolling Interest	--
Implied Equity Value	\$3,288
Fully Diluted Shares	211.18
Implied Share Price	\$15.57

	Projection Period				
	2026P	2027P	2028P	2029P	2030P
	\$5,242	\$5,290	\$5,338	\$5,387	\$5,437
	(0.2%)	0.9%	0.9%	0.9%	0.9%
	2,668	2,682	2,707	2,731	2,756
	50.9%	50.7%	50.7%	50.7%	50.7%
	\$2,574	\$2,608	\$2,632	\$2,656	\$2,680
	49.1%	49.3%	49.3%	49.3%	49.3%
	2,045	2,067	2,086	2,105	2,124
	39.0%	39.1%	39.1%	39.1%	39.1%
	169	170	172	173	175
	3.2%	3.2%	3.2%	3.2%	3.2%
	--	--	--	--	--
	\$360	\$371	\$374	\$378	\$381
	6.9%	7.0%	7.0%	7.0%	7.0%
	90	93	94	94	95
	25.0%	25.0%	25.0%	25.0%	25.0%
	\$270	\$278	\$281	\$283	\$286
	169	170	172	173	175
	(276)	(272)	(172)	(173)	(175)
	(5.3%)	(5.1%)	(3.2%)	(3.2%)	(3.2%)
	25	3	(2)	(2)	(2)
	\$188	\$179	\$279	\$282	\$284

0.5	1.5	2.5	3.5	4.5
0.97	0.90	0.84	0.78	0.73
\$182	\$161	\$234	\$220	\$207

Terminal Multiple Method - Implied EV / EBITDA	
Implied Enterprise Value	4,921
2025A EBITDA	556
Implied EV / 2025A EBITDA Multiple	8.9x

Perpetuity Growth Method - Implied EV / EBITDA	
Implied Enterprise Value	5,027
2025A EBITDA	556
Implied EV / 2025A EBITDA Multiple	9.0x

Terminal Multiple Method - Implied Growth Rate	
Terminal Year UFCF (2030P)	284
Terminal Value	5,560
Implied Growth Rate	2.0%

Implied Enterprise Value Sensitivity Analysis					
WACC	Terminal Multiple				
	8.0x	9.0x	10.0x	11.0x	12.0x
6.3%	4,313	4,724	5,134	5,545	5,955
6.8%	4,225	4,625	5,026	5,427	5,828
7.3%	4,138	4,530	4,921	5,313	5,705
7.8%	4,054	4,437	4,819	5,202	5,585
8.3%	3,972	4,346	4,720	5,094	5,468

WACC	Perpetuity Growth Rate				
	1.0%	1.5%	2.0%	2.5%	3.0%
6.3%	5,184	5,643	6,210	6,928	7,865
6.8%	4,732	5,105	5,556	6,114	6,820
7.3%	4,351	4,660	5,027	5,471	6,020
7.8%	4,028	4,286	4,590	4,951	5,388
8.3%	3,749	3,968	4,222	4,521	4,876

Implied Enterprise Value / 2025E EBITDA Sensitivity Analysis					
WACC	Terminal Multiple				
	8.0x	9.0x	10.0x	11.0x	12.0x
6.3%	7.8x	8.5x	9.2x	10.0x	10.7x
6.8%	7.6x	8.3x	9.0x	9.8x	10.5x
7.3%	7.4x	8.1x	8.9x	9.6x	10.3x
7.8%	7.3x	8.0x	8.7x	9.4x	10.0x
8.3%	7.1x	7.8x	8.5x	9.2x	9.8x

WACC	Perpetuity Growth Rate				
	1.0%	1.5%	2.0%	2.5%	3.0%
6.3%	9.3x	10.1x	11.2x	12.5x	14.1x
6.8%	8.5x	9.2x	10.0x	11.0x	12.3x
7.3%	7.8x	8.4x	9.0x	9.8x	10.8x
7.8%	7.2x	7.7x	8.3x	8.9x	9.7x
8.3%	6.7x	7.1x	7.6x	8.1x	8.8x

Implied Perpetuity Growth Rate Sensitivity Analysis					
WACC	Terminal Multiple				
	8.0x	9.0x	10.0x	11.0x	12.0x
6.3%	(0.1%)	0.5%	1.1%	1.5%	1.9%
6.8%	0.3%	1.0%	1.6%	2.0%	2.4%
7.3%	0.8%	1.5%	2.0%	2.5%	2.9%
7.8%	1.3%	2.0%	2.5%	3.0%	3.4%
8.3%	1.8%	2.4%	3.0%	3.5%	3.8%

Source: N/A
Note: N/A

Appendices - WACC

University of Illinois at Urbana-Champaign, Gies College of Business
Weighted Average Cost of Capital (WACC) Analysis Template
\$ in millions, except per share amounts

Comparable Companies Unlevered Beta Analysis						
Company Name	Estimated Levered Beta (1)	Market Value Total Debt	Equity	Debt / Equity	Marginal Tax Rate	Unlevered Beta
UTZ	1.03	890	1,777	50.1%	25.0%	0.75
J&J	0.39	2	1,908	0.1%	25.0%	0.39
MZTI	0.44	2	4,802	0.0%	25.0%	0.44
Average	0.62	298	2,829	16.7%	25.0%	0.53
Median	0.44	2	1,908	0.1%	25.0%	0.44

WACC Sensitivity Analysis						
		Pre-Tax Cost of Debt				
		1.3%	2.3%	3.3%	4.3%	5.3%
Debt-to-Total Capitalization	33.5%	6.83%	7.09%	7.34%	7.59%	7.84%
	34.0%	6.79%	7.05%	7.30%	7.56%	7.81%
	34.5%	6.75%	7.00%	7.26%	7.52%	7.78%
	35.0%	6.70%	6.96%	7.23%	7.49%	7.75%
	35.5%	6.66%	6.92%	7.19%	7.46%	7.72%

Comps Levered Beta Calculation	
Selected Unlevered Beta	0.53
Target Debt / Equity Structure	52.8%
Marginal Tax Rate	25.0%
Levered Beta	0.73

FF WACC Calculation	
FF's Debt-to-Total Capitalization	34.5%
FF's Equity-to-Total Capitalization	65.5%
FF's Pre-Tax Cost of Debt	3.29%
FF's Marginal Tax Rate	25.0%
After-Tax Cost of Debt	2.5%
Risk-Free Rate of Return (2)	4.74%
Market Risk Premium (3)	5.00%
FF's Levered Beta (4)	0.31
Size Premium (5)	3.50%
Cost of Equity	9.8%
WACC	7.26%

References

- (1) Notes
- (2) Rate on 20 Year Treasury as of 9/30/25
- (3) Estimated by Jim B.
- (4) From FF Spread
- (5) Estimated by Jim B.

Appendices – Comparable Companies

University of Illinois at Urbana-Champaign, Gies College of Business

Benchmarking Analysis Template

\$ in millions, except per share amounts

Adjusted Financial Statement Data						LTM Profitability Margins			Historical Growth Rates		
Company Name	Stock Ticker	LTM Revenue	LTM Gross Profit	LTM EBITDA	LTM Net Income	Gross Profit Margin	EBITDA Margin	Net Income Margin	2-Year CAGR		
		Revenue	Gross Profit	EBITDA	Net Income				Revenue	EBITDA	Net Income
J&J Snack Foods	NASDAQ: JJSF	\$1,599.7	\$547.6	\$177.2	\$78.0	34.2%	11.1%	4.9%	6.80%	27.19%	33.56%
UTZ Brands	NYSE: UTZ	1,425.4	525.6	184.2	71.0	36.9%	12.9%	5.0%	0.03%	5.63%	2.02%
The Marzetti Company	NYSE: MZTI	1,909.1	517.8	291.4	174.0	27.1%	15.3%	9.1%	2.35%	15.69%	15.69%
Subject Company	FLO	\$5,098.0	\$2,518.6	\$517.5	\$219.5	49.4%	10.2%	4.3%	2.90%	4.80%	5.50%
Average		1,645	530	218	108	32.7%	13.1%	6.3%	3.1%	16.2%	17.1%
Median		1,600	526	184	78	34.2%	12.9%	5.0%	2.3%	15.7%	15.7%

Forward Consensus Estimates						NFY Profitability Margins			Implied Forward Multiples		
Company Name	Stock Ticker	NFY Revenue	NFY EBIT	NFY EBITDA	NFY Net Income	EBIT Margin	EBITDA Margin	Net Income Margin	Enterprise Value /		Equity /
		Revenue	EBIT	EBITDA	Net Income				NFY Revenue	NFY EBITDA	NFY Net Income
J&J Snack Foods	NASDAQ: JJSF	1,604	108	180	80	6.7%	11.2%	5.0%	1.1x	9.8x	22.9x
UTZ Brands	NYSE: UTZ	1,443	190	217	117	13.2%	15.0%	8.1%	2.3x	15.1x	15.3x
The Marzetti Company	NYSE: MZTI	1,940	243	308	193	12.5%	15.9%	9.9%	2.3x	14.5x	24.0x
Subject Company	FLO	\$5,261.7	\$357.7	\$357.7	\$225.4	6.8%	6.8%	4.3%	0.9x	13.2x	11.7x
Average		1,662	180	235	130	10.8%	14.0%	7.7%	1.9x	13.1x	20.8x
Median		1,604	190	217	117	12.5%	15.0%	8.1%	2.3x	14.5x	22.9x

Source: N/A

Note: N/A

Appendices – Comparable Companies

University of Illinois at Urbana-Champaign, Gies College of Business
Comparable Company Analysis Template
\$ in millions, except per share amounts

Public Market Profiles and Statistics						Enterprise Value /									Equity Value /		
Company Name	Stock Ticker	Stock Price	% of 52-Week High	Enterprise Value	Equity Value	LTM Revenue	NFY Revenue	NFY+1 Revenue	LTM EBITDA	NFY EBITDA	NFY+1 EBITDA	LTM EBIT	NFY EBIT	NFY+1 EBIT	LTM Net Income	NFY Net Income	NFY+1 Net Income
J&J Snack Foods	NASDAQ: JJSF	\$94.08	52.04%	\$1,756	\$1,832	1.1x	1.1x	1.1x	9.9x	9.8x	8.9x	16.8x	16.3x	14.6x	23.5x	22.9x	20.0x
UTZ Brands	NYSE: UTZ	12.63	66.86%	3,278	1,796	2.3x	2.3x	2.2x	17.8x	15.1x	13.9x	30.0x	17.3x	16.5x	25.3x	15.3x	13.7x
The Marzetti Company	NYSE: MZTI	168.33	83.07%	4,475	4,635	2.3x	2.3x	2.3x	15.4x	14.5x	14.0x	19.5x	18.4x	17.7x	26.6x	24.0x	23.0x
Subject Company	NYSE: FLO	\$12.54	54.40%	\$4,725.6	\$2,648.2	0.9x	0.9x	0.9x	8.1x	8.2x	8.0x	11.5x	12.0x	11.7x	10.4x	12.0x	11.5x
Third Quartile						2.3x	2.3x	2.3x	17.8x	15.1x	14.0x	30.0x	18.4x	17.7x	26.6x	24.0x	23.0x
Average						1.9x	1.9x	1.8x	14.4x	13.1x	12.2x	22.1x	17.3x	16.2x	25.1x	20.8x	18.9x
Median						2.3x	2.3x	2.2x	15.4x	14.5x	13.9x	19.5x	17.3x	16.5x	25.3x	22.9x	20.0x
First Quartile						1.1x	1.1x	1.1x	9.9x	9.8x	8.9x	16.8x	16.3x	14.6x	23.5x	15.3x	13.7x

Source: N/A
Note: N/A

Appendices – Precedent Transactions

University of Illinois at Urbana-Champaign, Gies College of Business
Precedent Transaction Analysis Valuation Summary Template
\$ in millions, except per share amounts

Aggregated Precedent Transaction Multiples				
Descriptive Statistic	LTM Revenue	<u>Enterprise Value /</u>		<u>Equity Value /</u>
		LTM EBITDA	LTM EBIT	LTM Net Income
Third Quartile	4.0x	18.3x	23.1x	31.1x
Average	2.6x	14.9x	19.1x	23.7x
Median	2.7x	15.7x	19.2x	25.2x
First Quartile	1.2x	10.8x	15.0x	14.9x
Subject Company	\$ 5,098.00	\$ 517.50	\$ 372.30	\$ 219.50

Subject Company Valuation Summary				
Descriptive Statistic	LTM Revenue	<u>Implied Enterprise Value</u>		<u>Implied Equity Value</u>
		LTM EBITDA	LTM EBIT	LTM Net Income
Third Quartile	\$ 20,231.91	\$ 9,481.65	\$ 8,607.67	\$ 6,824.53
Average	\$ 13,310.80	\$ 7,726.28	\$ 7,113.24	\$ 5,208.56
Median	\$ 13,833.01	\$ 8,129.78	\$ 7,136.40	\$ 5,529.83
First Quartile	\$ 5,867.49	\$ 5,567.40	\$ 5,595.64	\$ 3,271.32

Source: N/A

Note: N/A

Appendices – Precedent Transactions

University of Illinois at Urbana-Champaign, Giles College of Business

Precedent Transaction Analysis Template

\$ in millions, except per share amounts

Transaction Profiles						Implied LTM Valuation Multiples				Premiums Paid Ahead of Announcement			LTM Financial Statistics				
Announcement Date	Acquirer Company	Target Company	Transaction Type	Purchase Consideration	Enterprise Value	Enterprise Value /		Equity Value /		Periods			Revenue	EBITDA	Net Income	Gross Profit Margin	EBITDA Margin
07/10/2025	Ferrero	WK Kellogg	Acquisition	Cash	\$3,066.1	Revenue	EBITDA	EBIT	Net Income	1 Day Prior	7 Days Prior	30 Days Prior	Revenue	EBITDA	Net Income	Margin	Margin
09/11/2023	J.M. Smucker	Hostess Brands	Acquisition	Cash & Stock	5,490.3	4.0x	18.3x	23.1x	31.1x	21.84%	20.90%	46.49%	1,383.4	299.7	147.8	38.0%	21.7%
08/13/2024	viars, Incorporated	Kellanova	Acquisition	Cash	35,174.0	2.7x	15.7x	19.2x	25.2x	3.59%	4.32%	43.59%	12,963.0	2,239.0	1,169.5	36.7%	17.3%
Third Quartile						4.0x	18.3x	23.1x	31.1x	31.43%	31.28%	46.49%	12,963.00	2,239.00	1,169.50	37.97%	21.66%
Average						2.6x	14.9x	19.1x	23.7x	18.95%	18.83%	44.55%	5,670.15	941.22	487.10	35.81%	16.54%
Median						2.7x	15.7x	19.2x	25.2x	21.84%	20.90%	43.59%	2,664.00	299.66	147.79	36.67%	17.27%
First Quartile						1.2x	10.8x	15.0x	14.9x	3.59%	4.32%	43.57%	1,383.45	285.00	144.00	32.77%	10.70%

Source: N/A

Note: N/A